WAVERLEY GATEWAY GUIDE

Connecting International Capital

CZECHIA

Europe

Information current as of November 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Prague	Capital and largest economy; seat of government, the Czech National Bank and most regional headquarters, with a deep pool of IT and business-services talent	IT and software, business services, finance, real estate
Central Bohemia	Automotive heartland around Prague, set to gain more than 450 jobs from projects CzechInvest supported in 2025, led by Toyota's $776 million expansion	Automotive, components, logistics
Plzeň Region	Western engineering centre close to Germany, attracting 220 new jobs from 2025 investment projects	Engineering, automotive, electrical equipment
Brno and South Moravia	Second city with leading universities and research centres and a growing technology sector	ICT, research and development, advanced manufacturing
Moravia-Silesia (Ostrava)	Former coal and steel region in transition, gaining 186 jobs from 2025 projects and supported by EU transition funding	Industry, energy transition, logistics
Zlín Region (Rožnov pod Radhoštěm)	Location of onsemi's planned semiconductor investment of up to $2 billion, announced in 2024	Semiconductors, electronics
Dukovany (Vysočina)	Site of the planned two new nuclear units by KHNP, valued at CZK 407 billion, with construction due to start in 2029	Nuclear energy, engineering, construction services

INVESTOR ENTRY ROUTES

- CzechInvest, the business and investment development agency under the Ministry of Industry and Trade, which handled 25 investment projects worth $1.21 billion in 2025
- Investment incentives (tax relief and grants, including under the EU Temporary Crisis and Transformation Framework), which helped secure $913 million of the projects CzechInvest supported in 2025
- A 21% corporate income tax rate, applied since 2024
- EU single-market and Schengen membership, giving free movement of goods, services, capital and people across the EU
- The Czech koruna, a floating currency managed under the Czech National Bank's inflation target, with free capital movement and profit repatriation under EU rules

- EU co-financing through the €8.67 billion Recovery and Resilience Plan and EU cohesion programmes for energy, transport, digital and industrial projects
- Supply-chain entry into the Dukovany nuclear new build, where KHNP is selecting a new construction contractor

MARKET-ENTRY OBSERVATION

Czechia in November 2026 offers investors one of Central Europe's most industrialised economies, tightly integrated into European supply chains, with low inflation and moderate public debt. GDP grew 2.6% in 2025 and 1.6% year-on-year in the third quarter of 2026, supported by household consumption, investment and external demand. Inflation was 2.4% in October 2026, close to the Czech National Bank's target, and public debt stood at 44.2% of GDP in 2025, with a deficit of 2.2%. CzechInvest supported 25 investment projects worth $1.21 billion in 2025, three-quarters of it in automotive, led by Toyota's $776 million expansion, following onsemi's planned semiconductor investment of up to $2 billion in 2024. The government led by Prime Minister Andrej Babiš, in office since December 2025, has prioritised industry, transport and energy, and Czechia has received 88% of its €8.67 billion Recovery and Resilience Plan allocation.

Czechia's main structural challenge is sustaining competitiveness as its export-led industrial model faces higher energy costs, slower growth in Europe and the shift to electric vehicles, while keeping public finances on track. The 2027 budget plans a state deficit of CZK 386 billion, which passed its first reading in October 2026, and the Czech National Bank raised its two-week repo rate by 0.25 percentage points to 4.00% on 5 November 2026. The response combines energy security and industrial upgrading: the CZK 407 billion Dukovany nuclear programme with KHNP, investment incentives for higher-value manufacturing, and EU funds for energy, transport and digital projects. Together with a skilled workforce and central location, this creates opportunities in nuclear and energy supply chains, semiconductors, automation and EU-funded infrastructure.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Fiscal expansion and tighter monetary policy	The 2027 budget plans a CZK 386 billion state deficit and the central bank raised its key rate to 4.00% in November 2026, raising borrowing costs	Debt of 44.2% of GDP leaves room for manoeuvre; hedge rate exposure and monitor tax and spending measures in the budget process
Automotive concentration	Automotive accounted for about three-quarters of the investment CzechInvest supported in 2025, exposing the economy to the shift to electric vehicles	Incentives and EU funds favour electronics, semiconductors and higher value-added activity, creating diversification opportunities
Political and governance questions	The opposition has challenged the Prime Minister over conflict of interest, budget policy and independent institutions; the government survived a no-confidence vote in October 2026	The coalition holds a working majority, Agrofert shares were placed in a blind trust, and EU rules and courts provide recourse
Energy costs and transition	Energy prices rose 5.6% year-on-year in October 2026, and the new Dukovany units will not be completed before the mid-2030s	Long-term power contracts, on-site renewables and efficiency investment reduce exposure; the nuclear programme offers supply-chain opportunity
Currency exposure	Czechia uses the koruna rather than the euro, so euro-based investors face exchange-rate risk	The koruna is freely convertible and hedging markets are deep; invoicing in euros is common in export industries
Labour availability	Skilled labour can be scarce in manufacturing regions, adding to wage pressure	Partner with technical universities, use automation and locate near regional talent pools such as Brno, Plzeň and Ostrava
Nuclear project execution	KHNP's talks with its intended Korean construction partners ended without agreement in November 2026	KHNP and the government say the 2029 construction start is unchanged and a new contractor is being sought, opening the door to other suppliers

INVESTOR RISK NOTE

Czechia's risk profile is that of a stable EU, NATO and Schengen member with moderate public debt, low inflation and a deep industrial base. Inflation of 2.4% in October 2026 is close to target, debt was 44.2% of GDP in 2025, and the current account recorded a surplus of 0.7% of GDP. The main near-term issues are the larger planned deficit in the 2027 budget and the central bank's November 2026 rate rise to 4.00%, which together point to tighter financing conditions. The government of Prime Minister Andrej Babiš, formed by ANO, SPD and the Motorists, survived a no-confidence vote in October 2026; it faces opposition criticism on conflict of interest and institutional independence, which investors should monitor without expecting abrupt changes to the open, EU-anchored business environment. Czechia is not subject to international sanctions, and standard EU sanctions and export-control rules apply to trade with Russia.

MARKET ACCESS

As a member of the EU, Czechia gives investors tariff-free access to the EU single market and to all the EU's free trade agreements, with WTO membership and the common trade policy governing trade with third countries. Schengen membership allows passport-free movement of people and goods across most of the continent. Czechia lies at the heart of Central Europe, with dense road and rail links to Germany, its largest trading partner, as well as Austria, Poland and Slovakia, making it a natural base for supplying German and wider European manufacturing. The country keeps its own currency, the koruna, while trading largely in euros, and EU funds are supporting upgrades to transport corridors and energy networks.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Government (Prime Minister Andrej Babiš)	Sets economic, fiscal and industrial policy; the ANO-led coalition in office since December 2025 prioritises industry, transport and energy	Primary reference point for strategic projects and national priorities
CzechInvest	National investment agency handling investment incentives, site search and aftercare for foreign investors	Standard first point of contact for market entry and incentives
Czech National Bank (Governor Aleš Michl)	Sets monetary policy, raising the two-week repo rate to 4.00% in November 2026, and supervises the financial sector	Relevant for banking, payments, currency and financial-sector matters
Ministry of Finance	Leads the budget, tax policy and EU fiscal reporting	Key counterpart on tax and public-finance matters
Ministry of Industry and Trade (Minister Karel Havlíček)	Oversees industrial and energy policy, CzechInvest and the Dukovany nuclear programme	Essential for incentives, energy and manufacturing investment
Elektrárna Dukovany II and ČEZ	The project company for the new nuclear units, majority-owned by the state, and the national power utility	Counterparts for suppliers and investors in the nuclear and power sectors
Office of the President (President Petr Pavel)	Head of state with a role in appointing governments and a strong voice on foreign and security policy	Relevant for high-level visits and international engagement

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in the Czech Republic, the British Chamber of Commerce in the Czech Republic, the Czech-German Chamber of Industry and Commerce, the Economic Chamber of the Czech Republic and the Confederation of Industry are the main business networks, with active sector committees and regular dialogue with government. CzechInvest supports foreign investors and suppliers, while CzechTrade promotes Czech exporters abroad. The European Investment Bank and EU programmes managed by national ministries offer co-financing for qualifying projects. The commercial sections of the embassies of major EU partners, the United Kingdom, Japan, South Korea and the United States are useful sources of introductions.

INVESTOR PROFILE BEST SUITED

Czechia suits investors seeking a skilled, industrial base inside the EU and Schengen: automotive and component manufacturers serving German and European supply chains; electronics and semiconductor firms; engineering and nuclear suppliers positioning for the Dukovany programme; IT, software and business-services companies in Prague and Brno; and infrastructure and energy investors targeting EU-funded transport, grid and renewable projects. Investors with euro revenues and koruna costs should plan currency hedging.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage CzechInvest and assess incentives
Open dialogue with the agency to test eligibility for investment incentives and EU-framework support and to shortlist regions and sites.

STEP 2: Shortlist regions and talent pools
Compare Central Bohemia, Plzeň, Brno and Moravia-Silesia for labour, suppliers and logistics links to Germany and Poland.

STEP 3: Map EU funding opportunities
Identify Recovery and Resilience Plan and cohesion programmes that can co-finance energy, transport, digital or industrial components of a project.

STEP 4: Position for the nuclear and energy programme
Register interest with KHNP, Elektrárna Dukovany II and ČEZ as a new construction contractor is selected and the supply chain is formed.

STEP 5: Plan for financing and currency conditions
Track the 2027 budget and Czech National Bank decisions, and build interest-rate and koruna hedging into financial models.